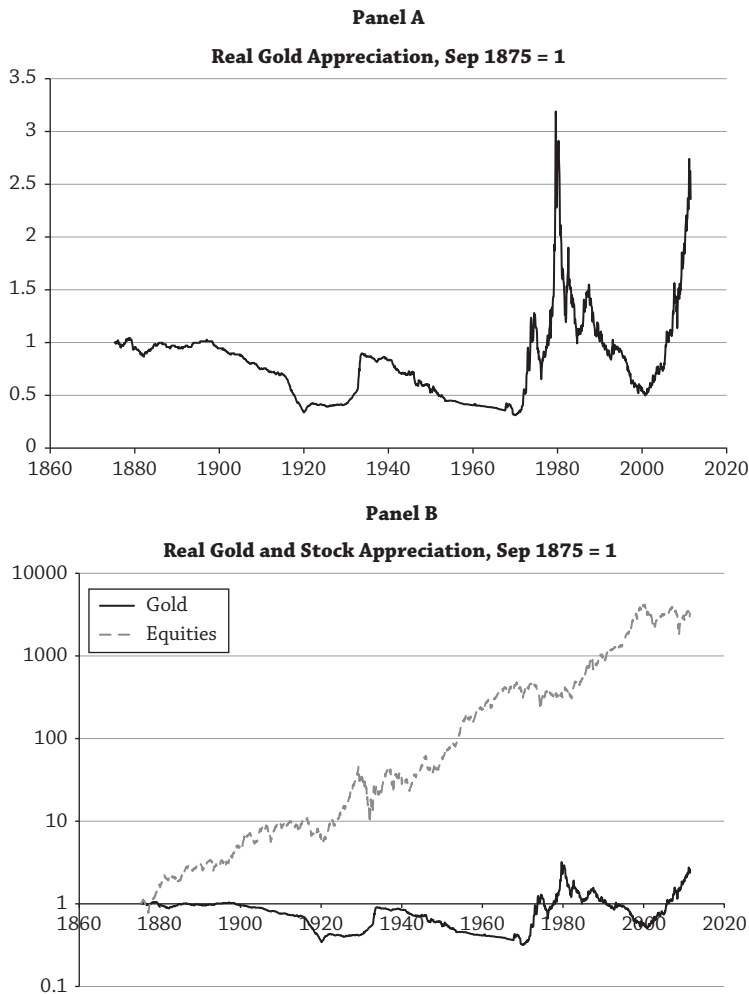




*Figure 11.10*

been an inflation hedge over the past 130 years. Erb and Harvey (2013), however, document that over the extremely long run, gold may have a higher return than the inflation rate (the mean effect), even though gold does not correlate highly with inflation (the inflation hedging ability). Erb and Harvey compare the pay of a U.S. Army private today with that of a legionary during the reign of Augustus (27 BC to 14 AD), the first emperor of the Roman Empire. Erb and Harvey find the pay of U.S. army privates and Roman legionnaires very similar when stated in ounces of gold. They also find the pay of a U.S. army captain approximately the same as that of a Roman centurion, when expressed in gold. So, over centuries, gold tracks inflation, at least in preserving the long-run level of military pay. If only we could live so long.